

		Moving Defendants to give notice.
5	Hoang vs. Toyota Motor Sales, U.S.A., Inc.	TENTATIVE RULING: <u>Motion 1. Demurrer to Complaint</u> Defendant Toyota Motor Sales, U.S.A., Inc., (“TMS”) demurs to the sixth cause of action in the Complaint of Plaintiff Thach D. Hoang. For the following reasons, the demurrer is OVERRULED. <u>Request for Judicial Notice</u> The court DENIES as unnecessary Defendant TMS’s request for judicial notice. (<i>See Zucchet v. Galardi</i> (2014) 229 Cal.App.4th 1466, 1474, fn. 5 [citing <i>Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison</i> (1998) 18 Cal.4th 739, 748, fn. 6].) <u>Timeliness</u> While a defendant generally has 30 days after service of a complaint within which to demur to the complaint or to file a motion to strike the complaint, an untimely challenge to the complaint may be considered by the court in its discretion. (<i>See Jackson v. Doe</i> (2011) 192 Cal.App.4th 742, 750.) The court exercises its discretion to consider Defendant TMS’s untimely demurrer, given the unique procedural history in this case. <u>Standard on Demurrers</u> In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader’s ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-1405.) Questions of fact cannot be decided on demurrer. (<i>Berryman v. Merit Prop. Mgmt., Inc.</i> (2007) 152 Cal.App.4th 1544, 1556.) A demurrer tests only the sufficiency of the complaint; a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (<i>Hall v. Great W. Bank</i> (1991) 231 Cal.App.3d 713, 718 n.7.)

Although courts should take a liberal view of inartfully drawn complaints (*see* Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; *see* Code Civ. Proc., § 425.10(a).)

Sixth Cause of Action (Fraudulent Concealment)

The Complaint alleges Defendant TMS failed to disclose the subject vehicle and its lithium-ion battery were defective and susceptible to sudden and premature failure (Compl. ¶¶ 63, 65), which TMS learned of through sources not available to consumers, including but not limited to pre-production and post-production testing data, early consumer complaints about the battery defect made directly to TMS and its network of dealers, aggregate warranty data compiled from TMS's network of dealers, testing conducted by TMS in response to these complaints, and warranty repair and part replacement data. (FAC ¶ 66.)

The elements of a cause of action for fraudulent concealment are: (i) concealment or suppression of a material fact; (ii) by a defendant with a duty to disclose the fact to the plaintiff; (iii) defendant's intent to defraud plaintiff by intentionally concealing or suppressing the fact; (iv) plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (v) as a result, the plaintiff sustained damage. (*Hambrick v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162; *see also* Civ. Code, § 1573.)

Requisite Specificity

Defendant TMS contends the Complaint relies on only boilerplate conclusions rather than specific facts.

For pleading purposes, the facts that constitute the fraud must be alleged fully, factually, and specifically. (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331; *see also*, *Dhital*, 84 Cal.App.5th at 843-844 ["Fraud, including concealment, must be pleaded with specificity"].) This particularity requirement generally necessitates the pleading of facts that show how, when, where, to whom and by what means the representation was tendered; and pleading specifically the detriment proximately caused by the

defendant's conduct. (*Service of Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1818; *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.)

Notably, an exception to the general rule exists when it appears the facts lie more within the defendant's knowledge than the plaintiff's, i.e., less specificity is required where "defendant must necessarily possess full information concerning the facts of the controversy." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, *superseded by statute, on other grounds; see also Miles v. Deutsche Bank Nat'l Trust Co.* (2015) 236 Cal.App.4th 394, 403-404 [finding omission of names of mortgage servicer employees and their authority to speak not fatal to fraud claim where defendants had more knowledge of the facts than did plaintiffs]; *Tenet Healthsystem Desert, Inc. v. Blue Cross of Calif.* (2016) 245 Cal.App.4th 821, 840 [holding complaint need not specify information uniquely within defendants' knowledge, such as who prepared documents in question].)

Here, the Complaint alleges Defendant TMS concealed specific material facts, including that the battery system had one or more defects and that as a result of the defective battery, vehicles experienced overheating, loss of propulsion power while driving, sudden and premature battery failure, failure to start, reduced range, thermal runaway, and/or spontaneous combustion and/or fire. (FAC ¶ 65.) The Complaint need not allege the identity of the specific facts establishing pre-sale knowledge or concealment conduct, as Defendant TMS is in a better position to know that information.

Duty to Disclose

Defendant TMS contends the Complaint does not allege facts supporting a duty by TMS to disclose because the Complaint does not allege sufficiently specific facts plausibly establishing that TMS had pre-sale knowledge of the alleged battery defect.

"A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent." (*SCC Acquisitions, Inc. v. Central Pac. Bank* (2012) 207 Cal.App.4th 859, 860.) Under California law, "[t]here are "four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of